



Gulf Calling

India's Nykaa and the UAE's Apparel Group come together to explore the Gulf markets

BY **PRERNA LIDHOO**

20 | **INDIA'S RICHEST SELF-MADE** woman Falguni Nayar—who started Nykaa 10 years ago as a beauty e-commerce platform—wants to become even richer! Nayar has announced Nykaa's entry into the Gulf Cooperation Council (GCC) market across Bahrain, Kuwait, Oman, Qatar, Saudi Arabia and the United Arab Emirates (UAE) through a strategic alliance with Dubai-based Apparel Group, the Middle-East's largest lifestyle retail conglomerate.

The omnichannel entity will have a new name with FSN International (a subsidiary of FSN E-commerce Ventures that runs Nykaa) holding 55 per cent stake and 45 per cent with Apparel. "We now look forward to recreating our distinct beauty retail value proposition in the GCC," Nayar told reporters in Mumbai at the launch.

Through this alliance, Nykaa

aims to leverage Apparel Group's offline retail network of over 2,000 retail stores across 14 countries, which offers around 75 brands. As per a Redseer report, Saudi Arabia and the UAE, two of the region's biggest beauty and personal care markets—with a size of \$17.1 billion and \$6.6 billion, respectively, in 2021—are projected to grow at a CAGR of 7 per cent and 9 per cent, respectively, over the next three years.

Like Nayar, Apparel Group's Founder and Chairwoman Sima Ganwani Ved is also a successful woman entrepreneur. "Over the years, we have added Tommy Hilfiger, Calvin Klein, ALDO and many others to our portfolio. We consider ourselves regional experts within the retail industry with a digital-first approach," said Ved at the launch.

She said she hopes to replicate the success that Nykaa had in India,

in the GCC. Apparel Group India is also looking to expand its brands in cities like Vadodara, Indore, Kochi, Thiruvananthapuram, Amritsar and Ludhiana. The group, overall, has 1,900+ retail stores and 75+ brands on all platforms. It recently launched US-based Victoria's Secrets' first physical store in Mumbai and has a portfolio of several other international brands like ALDO and Charles & Keith.

Nayar hopes to leverage the Apparel Group's wide presence to its benefit. "Their established supply chain models, fulfilment processes and partnerships with local establishments are some of the strongest in the region. In Apparel Group, we found a partner that's culturally very aligned to us, and together we can build the business of the future in the GCC markets," she says. **BT**

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